ARDEN COASTAL GAS COMPANY — ANNUAL FINANCIAL DISCLOSURE

(EXCERPT)

The following is an extract from the annual financial disclosure prepared by Arden Coastal Gas Company at the request of the Office of the Attorney General of the State of Arden. All figures relate to the most recently completed financial year and are expressed in millions of United States dollars.

1. Business and organisational overview

Arden Coastal Gas Company is a publicly traded company organised under the laws of Arden. Its workforce comprises approximately 1,102 persons spread across 14 states, and its reporting is organised around the segments described below. Arden Agent Services, Inc. serves as the company's registered agent in Arden.

2. Segment results

Segment	Revenue ($M)	Share of total (%)	Fossil Fuel Products segment
Regulated gas distribution	955	85.3	yes
Gas supply and balancing	130	11.6	yes
Appliance service plans	26	2.3	no
Corporate	9	0.8	no
Total revenue	**1,120**	**100.0**	

Revenue from sales of Fossil Fuel Products, as that term is defined in the Climate Resilience Funding Act, is made up of the segments marked in the table above and came to $1,085M for the year. Revenue from all segments came to $1,120M. In the preceding year the corresponding proportion was 96.9%.

3. Capital expenditure, depreciation and amortisation

Capital spending came to $66.8M, of which 57.2% went to the maintenance of existing assets. Charges for depreciation, depletion and amortisation were $70.9M. An impairment of $9.3M was recorded in respect of a suspended development project.

4. Management of commodity price risk

For the coming year the company had hedges in place over approximately 33.5% of anticipated production or purchase volumes. At year end the notional value of open derivative positions was $97.2M. A hypothetical ten per cent adverse movement in benchmark prices would have reduced pre-tax earnings by $6.5M.

5. Our people, safety record and environmental compliance

Recordable injuries occurred at a rate of 1.39 per two hundred thousand hours worked. Across all jurisdictions the company reported 7 notices of violation and paid civil penalties of $2.4M. Voluntary turnover stood at 4.3%.

6. Legal matters and proceedings

The company is a party to 42 proceedings, all arising in the ordinary course of business. Management does not consider any of them, whether individually or in the aggregate, likely to have a material adverse effect. Accruals in respect of loss contingencies stood at $2.9M.

7. Geographic distribution of revenue

Revenue is attributed to the jurisdiction in which title passes. The company's three largest states of operation generated 98.4% of revenue. Arden accounted for 97% of revenue. No single customer represented more than 9.8% of revenue. Operating permits are held in 8 states, together with one federal offshore lease area.

Region	Revenue ($M)	Share of total (%)	Employees
Gulf and south central	245.8	33.9	331
Mid-Atlantic and north east	259.6	24.9	296
Midwest	149.1	9.8	87
West and mountain	137.4	10.1	130
All other, including Arden	1,086.9	97.0	44

The regional figures reflect management's allocation and have been rounded; they do not constitute a segment disclosure and do not sum to total revenue.

8. Contractual commitments and off-balance-sheet items

Take-or-pay and transportation contracts gave rise to purchase obligations of $88.9M, of which $82.6M falls due within one year. Commitments under operating leases were $23.8M. Surety bonds and letters of credit totalling $15.6M have been issued, principally in respect of decommissioning and of state fuel tax obligations. There are no off-balance-sheet financing arrangements other than those described.

9. Taxes on income

The effective rate was 20.4%, compared with a statutory federal rate of 21%. The principal reconciling items were state taxes net of federal benefit (3.1 points), depletion allowances (5.8 points adverse to the reconciliation) and the resolution of an examination covering the years 2017 to 2020. Unrecognised tax benefits stood at $5.3M. The company is under examination in 7 states; Arden is not among them.

10. Transactions with related parties

Sales to entities in which a director or officer holds an interest of ten per cent or more amounted to $4.2M, on terms management believes to be no less favourable than those available from unrelated parties. Office space is leased from a partnership in which two officers hold interests.

11. Accounting estimates considered critical

Management regards as critical the estimates involved in recognising revenue on contracts with variable consideration, assessing asset retirement obligations (discount rate 4.6%, with settlement expected over 34 years), evaluating the recoverability of long-lived assets, and valuing open derivative positions where quoted prices are not available. A ten per cent change in the discount rate applied to retirement obligations would change the recorded liability by $3.6M.

12. Selected financial data — five years

	2020	2021	2022	2023	2024
Total revenue ($M)	820.6	957.9	1,076.6	993.0	1,120
Revenue from Fossil Fuel Products ($M)	795.0	928.0	1,043.0	962.0	1,085
Capital expenditure ($M)	62.0	70.1	63.5	71.6	66.8
Employees (000)	1.1	1.0	1.0	1.1	1.1

Figures for prior years are presented as previously reported and have not been restated. The proportion of revenue derived from Fossil Fuel Products may be computed from the two revenue lines; the proportion for the current year is stated in section 2 above.

13. Events after year end

On 24 August the company settled an environmental proceeding, without admission, for consideration of $17.4M. Management has evaluated events through the date of this disclosure and is not aware of any other matter requiring adjustment or disclosure.

14. Distributions to holders

Holders received distributions of $14.1M, representing 40.9% of distributable cash flow. The board has not adopted a fixed distribution policy.

This extract is prepared for the purposes of the constitutional review only. It has not been filed with any securities regulator and is not audited as presented.